

CompliVibe

UNIT ECONOMICS

The economics of a single customer — per tier, blended, and stress-tested.
Defensible even conservatively; the upside is engineered, not assumed.

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01 SUMMARY

At every tier, and blended, CompliVibe clears the bar for healthy SaaS — with room to improve as the model matures.

Metric	CompliVibe (base)	Healthy-SaaS bar	Status
LTV : CAC	~9–10 : 1	> 3 : 1	Clears
CAC payback	~6 months	< 12 months	Clears
Gross margin	76% → 85% (target)	70–80%	In range, rising
Net revenue retention	110–120% (target)	> 100%	Above

Base case, blended across tiers. Figures are illustrative and calibrated to early data; they mature with cohorts.

The headline: acquisition cost is largely performance-based, expansion is near-pure margin, and every new AI regulation is an automatic upsell. The one number we actively engineer is gross margin — via automation of the regulatory-update engine.

02 METHODOLOGY

How each number is defined, so the math is transparent.

- **ACV** — annual contract value — the yearly subscription a customer pays.
- **Gross margin** — $(\text{revenue} - \text{cost of revenue}) \div \text{revenue}$. Cost of revenue = hosting + the shared regulatory-update engine + support.
- **CAC** — fully-loaded sales & marketing (including partner royalty) to win one customer $\div$ new customers in the period.
- **LTV** — $\text{ACV} \times \text{gross margin} \times \text{expected lifetime}$, where $\text{lifetime} = \min(1 \div \text{churn}, 5 \text{ years})$. We cap lifetime at 5 years for realism.
- **CAC payback** — $\text{CAC} \div (\text{ACV} \times \text{gross margin} \div 12)$ — months of gross profit to recover acquisition cost.
- **NRR** — $(\text{starting ARR} + \text{expansion} - \text{contraction} - \text{churn}) \div \text{starting ARR}$, measured on the existing base.

03 ECONOMICS BY TIER

Each tier stands on its own — the cheap entry point is not a loss leader.

Metric	Starter	Growth	Enterprise
Price	\$500 / mo	\$1,000 / mo	~\$50K / yr
ACV	\$6,000	\$12,000	\$50,000
Gross margin	78%	80%	80%
Annual churn	25%	15%	8%
CAC	\$1,500	\$5,000	\$15,000
Expected lifetime (capped)	4.0 yrs	5.0 yrs	5.0 yrs
LTV	~\$18,700	~\$48,000	~\$200,000
LTV : CAC	~12.5 : 1	~9.6 : 1	~13.3 : 1
CAC payback	~3.8 mo	~6.3 mo	~4.5 mo

Starter is largely self-serve / inbound (low CAC, higher churn). Enterprise is sales-led (high CAC, low churn, high ACV). Growth is the balanced sweet spot.

04 THE BLENDED MODEL

Blended economics depend on tier mix, which shifts as enterprise grows.

Tier mix (by logo)	Early	Scaled
Starter	55%	30%
Growth	40%	45%
Enterprise	5%	25%
Blended ACV	~\$10,000	~\$20,000
Gross margin	70%	82%
Blended LTV : CAC	~7.8 : 1	~13–15 : 1
Blended CAC payback	~9 mo	~4.5 mo

As the enterprise share rises and the update engine automates, blended ACV, margin, and payback all improve together.

05 SENSITIVITY

Three scenarios on the blended model. Even the bear case clears the healthy-SaaS bar.

Metric	Bear	Base	Bull
Blended ACV	\$10,000	\$14,000	\$20,000
Gross margin	68%	76%	84%
Annual churn	22%	15%	9%
CAC	\$6,000	\$5,500	\$6,000
LTV	~\$30,600	~\$53,200	~\$84,000
LTV : CAC	~5.1 : 1	~9.7 : 1	~14 : 1
CAC payback	~10.6 mo	~6.2 mo	~4.3 mo

Bear assumes weak enterprise mix, an un-automated engine, and elevated churn — and still returns ~5:1.

What moves the numbers

- **Gross margin** — automating the regulatory-update engine moves gross margin from ~70% toward 85%. This is the largest single swing in the model.
- **Churn / NRR** — NRR above 100% (every new law is an upsell) pushes real LTV well above the capped figures shown.
- **CAC structure** — the partner royalty hits year-one only, not renewals, keeping CAC low and LTV clean.

THE ONE LEVER If one thing is funded next quarter, it is engine automation — it is the highest-leverage action in the entire model, moving margin and unlocking scale at once.

06 EXPANSION & NRR

The capped LTV understates reality, because good customers grow.

A customer rarely stays flat. They add AI systems and frameworks, moving from Starter to Growth to Enterprise, and each new regulation is an automatic reason to expand — at near-zero new acquisition cost. The same logo can travel from \$6K to \$50K+ per year without a second CAC.

- **Why it compounds** — expansion is near-pure gross margin — no new CAC, minimal new cost to serve.
- **The tailwind** — at 110–120% NRR, the base grows even before a single new logo is added.
- **The implication** — this is why the churn-capped LTV in the tables is a floor, not a ceiling.

07 HONEST CAVEATS

Stated up front, because credibility beats optimism.

- — these are projections built on early customers, not fully proven cohorts.
- — enterprise sales cycles are long and lumpy; enterprise CAC may run higher than modelled.
- — gross margin at the top of the range is unproven until the update engine is automated.
- — Starter churn is the hardest to predict — early-stage customers can fail for reasons unrelated to us.

THE ONE LINE

Even conservatively we are near 8:1 LTV to CAC with a sub-year payback — because CAC is

performance-based, expansion is near-free margin, and every new AI law is an automatic upsell.